



**PROCUREMENT
MANUAL - 2021
(STORES & SERVICES)
ARMOURED VEHICLES
NIGAM LIMITED**

A Leap Towards





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PROCUREMENT MANUAL
(STORES & SERVICES)-2021
(Version.1)

A vision for an



AATMA-NIRBHAR
BHARAT

Armoured Vehicles Nigam Limited (AVNL), Chennai-600054
Department of Defence Production, Ministry of Defence
Govt of India

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Foreword

- 1) AVNL Procurement Manual is a manual for procurement of stores & services for production in AVNL.
- 2) AVNL Factories have the responsibility of ensuring timely supply of military hardware to Defence Forces and other customers. The significance of availability of right material at right time and at right price, therefore, cannot be undermined. Considering the production requirement of AVNL Factories, it is always desirable to have separate exclusive Procurement Manual for the AVNL Units including factories for stores and services procurement cases especially for Made-to-Order (MTO) items which are ensuring expeditious processing of stores procurement proposals, facilitating faster decision making and consequently timely availability of input materials.
- 3) The provisions in AVNL Procurement Manual 2021 are within the ambit of DPM 2009 (or amended from time to time), GFR 2017 (or amended from time to time) as also other policies / guidelines / instructions issued by MoD, DIPP, MoF, MoMSME, CVC and ATN on CAG observations keeping in view the specific requirements of production and to ensure timely availability of input materials for continuity of production in AVNL Factories, maintaining transparency and probity in procurement.
- 4) AVNL Procurement Manual 2021 is more user and vendor friendly and has covered latest provisions and initiatives of the Government of India like Public Procurement (Preference to Make in India) Order 2017, Ease of Doing Business, level playing field with indigenous vendors, GeM, Start-ups among other things. The applicability of all these provisions will further boost and enhance the Defence Manufacturing eco system especially with MSMEs.
- 5) The AVNL Procurement Manual 2021 has been finalized and approved by Board of AVNL vide AVNL Board Meeting No.05/ 2021-22 held on 27 January 2022.

Avadi, Chennai-600 054.

(Sanjeev Kishore)
CMD / AVNL

Date:



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Preamble

“In the new world it is not the big fish which eats the small fish; it's the fast fish which eats the slow fish”

-Klaus Schwab, founder and chairman of World Economic Forum

The AVNL Procurement Manual (Stores & Service)-2021 is aimed at: imbibing the best possible supply-chain-management practices being followed across defence industries, harnessing the potential of well established Indian Defence Eco-system to offer ‘Womb’ to ‘Tomb’ solution to its customer. The manual does address important aspects of the industry such as: hand-holding in developing the complex defence platforms/systems/sub-systems, offering level playing field to eligible and potential vendors and, most importantly, ensuring commercial viability of the whole procurement cycle. Nevertheless, the provisions made in this procurement manual are within the ambit of DAP-2020 (amended form time to time) and GFR 2017 (amended form time to time) and derive its ethos and spirit from the principles of highest standards of transparency, fairness, competition, integrity and public accountability. And therefore, it offers a balance between complex procurement procedure and ensuring input store of the highest standard of quality at right cost; though decision making pertaining to this class of purchase always remains distinctive and complex.

While forging the AVNL procurement manual, the core spirit of the supply-chain-management, that is to say, sourcing the right material, within the reasonable time, at right cost, has traveled along adamantite. And for that raison d'être, this manual is not only coherent with laid down fundamental principles of public procurement, but also offers, pari-passu, an impetus to the clarion call of an ‘Atmanirbhar Bharat’, as envisaged by the Govt of India.

Needless to mention that the Defence manufacturing is unique and complex due to fast changing cutting-edge technologies. It demands major thrust in Research and Development, creation of intellectual capital, and substantial investment in defence production facilities within the country. A smooth, efficient and well defined procurement procedure, duly encapsulate in the form of a procurement manual, is the indispensable written document of any organization to shape its future.



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Philosophy

“Dare to be free, dare to go as far as your thought leads, and dare to carry that out in your life.”

-Swami Vivekananda

The Procurement Manual of an organization is a sacrosanct document which not only lays down the fundamental principle of procurement but also, to a large extent, synergies the defence eco-system mandatory for its existence. It broadly deals with the objectives and functions of purchase department and essentially lists out the procedure to be followed for procurement of stores and services. The core philosophy of this procurement manual is not exceptional either. Owing to above, the procurement manual is prepared:

1. Duly aligning its principle with GFR-2017 & DAP-2020.
2. Encompassing the CVC guidelines issued from time to time.
3. Adhering the regulations and directives issued by various Ministries of Central and State Governments.
4. Adhering to policies, guidelines, instructions issued by MoD, DIPP, MoF, MoMSME, CAG.
5. And, directives issued by any other statutory bodies that have a bearing on the procurement process.
6. This manual covers latest provisions and initiatives of Govt of India like public procurement (Preference to Make-in-India) order 2017, Ease-of-Doing-Business, level playing field with indigenous vendor, GeM, Start-Up, so on and so forth.

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7. Any instance of variance with GFR 2017 & DAP-2020 (amended from time to time) is noticed, the matter should be referred to AVNL for clarification. However, the ongoing procurement may not be stopped pending receipt of such clarification, if there is an operational urgency and the associated delay is likely to have adverse implications on the nation's interest.

8. Since the stores procurement of AVNL shall be governed by the provisions made in this manual, all associated SOPs, guidelines, instructions, orders, must be coherent with its fundamental principles.

9. All existing SOPs, guidelines, instructions, orders, shall be updated accordingly.

10. No modifications /amendments will be made to the AVNL Procurement Manual-2021 without prior approval of AVNL.

11. However, changes in policies issued by MoD/MoF and suitably communicated by AVNL - Chennai necessitating amendments in the manual may be implemented immediately.

12. Any amendment issued shall be attached to the associated chapter/chapters by assigning the page numbers: the last page number of the chapter with suffix (.) followed by numbers in roman.

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Draft & Approval

“Freedom is not worth having if it does not include the freedom to make mistakes.”

-Mahatma Gandhi

A. Constitution of Draft Committee: The Armoured Vehicles Nigam Limited (AVNL) through a written document (No: AVNL/CMD/001/PROCEDURE MANUALS, Date: 02.09.2021) appointed a draft committee to draft a Procurement Manual for Store & Services procurement which shall be applicable to newly created Defence Public Sector Unit- AVNL. The Drafting Committee has two members:

- i. Alok Prasad-Chairman
- ii. Anurag Kumar Sharma-Member

B. Draft Review: On 30.09.2021, the Member Drafting Committee (Anurag Kumar Sharma) submitted the very first draft to the Chairman (Alok Prasad) and AVNL for review and seasoned input, if any.

C. Enactment: The procurement manual of AVNL came into force with effect from 01.04.2022.



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I. INTRODUCTION

1. Challenges: Ensuring the right input material at right time is an inevitable requirement of a defence manufacturing unit for its survival of the fittest. The AVNL, being one of such prominent establishments of the country, has to perform this inescapable activity with utmost preciseness and in a transparent manner. The challenges in material procurement are as follows:

1. Stringent specifications of majority input materials: not applicable in commercial settings and are available only as Made-to-Order.
2. Inconsistent demand: both in terms of quantity and periodicity.
3. Stringent qualifying criterion: mostly governed by JSS, GOST and Military (MIL) standards.
4. Diverse product range with common procurement procedure.
5. Requirement of customized production line for specific input requirement.
6. And therefore, it is imperative that material purchase be made following systematic, efficient and cost effective way, in compliance with laid down procedure in this Procurement Manual, while ensuring timely positioning of the material.

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2. Objective: The principle of procurement function is to ensure efficiency, economy, transparency and competition wherever it is non-proprietary, non-licensor procurement and non-customer nominated source/equipment. The purchase procedure outlined in this manual aims to fulfill the following objectives:

- i. To ensure uninterrupted/timely flow of materials, equipment & services of goods of required quality to meet and support production plans and other requirements of internal and external customers.
- ii. To procure competitively and wisely authorize supplies to desired specifications from approved / reliable sources at the available reasonable prices within the time schedule to support production plans and other requirements.
- iii. To ensure that fair open and uniform purchase practices are followed to develop healthy and long term relationship with suppliers and to foster the commercial and technological interest of AVNL in the local, national and international market.
- iv. To ensure timely formulation and commitment of purchase budget, including foreign exchange requirements, if any.
- v. To serve as information center on materials knowledge prices, sources of supply, specifications etc. to all other departments.
- vi. To ensure that investment made on inventory is at an optimum level and continuously strive for reduction in material costs, Capital costs and Overhead expenses.
- vii. Develop sources of supply to maintain competition and sustained supplies.
- viii. Training of purchase personnel in the latest techniques of Materials Management.

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- ix. To keep management appraised of the likely shortfalls in purchase performance by introducing appropriate reporting systems with a view to seek management's intervention in time.
- x. To adhere to commercial procedures & maintain cannons of financial propriety to safeguard economic, legal and other interests of AVNL. Commercial procedures cover the Purchase Manual as well as guidelines issued by way of Materials Management Circulars/ CVC guidelines/ MoD instructions etc. from time to time.
- xi. Maintain and improve the quality of materials procured. Lay emphasis on Quality Management.

3. Purchase Functions : Purchase Department is responsible for the following functions:

- i. Creation of a comprehensive and regularly updated directory of selected reliable vendors and exchange the same with other Divisions/Units to expand sources of supply.
- ii. Maintenance of vendor evaluation and rating records.
- iii. Carry out market surveys with a view to establishing/developing new reliable and better sources of supply and keep updated with information on latest products /developments.
- iv. Analyzing bids/offers for decision-making by the Competent Authority.
- v. Arranging negotiations with Vendors, when necessary.
- vi. Issue of Purchase Orders in time.

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- vii.** Follow-up of Purchase Orders till the arrival of materials and acceptance at destination and to ensure after sales service during warranty and post-warranty periods.
- viii.** To finalize the required rate contracts/Long Term Agreements for regular stock items.
- ix.** To work out periodically procurement lead time for various categories of items from international and local markets and advise the same to user departments so that they take timely action in initiating purchase requests.
- x.** Maintaining a library of product catalogs and manufacturers/distributor's price lists etc.
- xi.** Maintaining up to date information regarding sales tax, excise and custom duty-rates etc.
- xii.** Entering into service contracts in line with the DoFP.
- xiii.** Entering into Transit Insurance agreements for goods in transit.
- xiv.** Finalization of Commercial Terms & Condition and operation of licence agreements in coordination with project/production engineering.
- xv.** To ensure that objectives of purchase are realized.
- xvi.** To be alert about and responsive to the changes in production programme and change in requirements of material.
- xvii.** Ensure timely payments to suppliers.

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4. Terminology (used interchangeably): Following terms have been used interchangeably.

- i. The Head of Unit, Unit Head: Sr GM/GM (presently)
- ii. Stores and Goods
- iii. AVNL- All matters related to Armoured Vehicles Nigam Limited (irrespective of powers vested therein as per DoFP)
- iv. The term referred AVNL in the manual implies the Armoured Vehicles Nigam Limited, Head Office Located at HVF Road, Bhaktavatsalapuram Avadi, Chennai- 600054.

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II. CLASSIFICATION OF GOODS & SERVICES

1. Introduction: For efficient implementation of purchase manual and guidelines (issued from time to time), it's imperative that the relevant classification of materials is properly understood, so that appropriate purchase procedure may be adopted for the purchases in question. This chapter contains the general rules applicable to AVNL & its associated units regarding procurement of goods & services required for use in the public service. Detailed instructions/SOPs relating to procurement of goods may be issued by the procuring units/departments broadly in conformity with the general guidelines contained in this Chapter. The broad definitions of terms goods & services (consulting & non-consulting) are given for better understanding the subject of procurement.

2. Goods: The term 'goods' used in this chapter includes all articles, material, commodity, livestock, furniture, fixtures, raw material, spares, instruments, machinery, equipment, industrial plant, vehicles, medicines, railway rolling stock, assemblies, sub-assemblies, accessories, a group of machineries comprising of an integrated production process or such other category of goods or intangible products like software, technology transfer, licenses, patents or other intellectual properties purchased or otherwise acquired for the use of Government but excludes books, publications, periodicals, etc. for a library. The term 'goods' also includes works and services which are incidental or consequential to the supply of such goods, such as, transportation, insurance, installation, commissioning, training and maintenance [GFR-2017, Rule-143].

3. Non-Consulting Services: Services (non-consulting) means any subject matter of procurement (which as distinguished from 'Consultancy Services'), involve physical, measurable deliverables/outcomes, where performance standards can be clearly identified and consistently applied, other than goods or works, except those incidental or consequential to the service, and includes maintenance, hiring of vehicle, outsourcing of building facilities management, security, photocopier service, janitor,



office errand services, drilling, aerial photography, satellite imagery, mapping etc [GFR-2017, Rule-197].

4. Consulting Services: "Consulting Service" means any subject matter of procurement (which as distinguished from 'Non- Consultancy Services' involves primarily non-physical project-specific, intellectual and procedural processes where outcomes/deliverables would vary from one consultant to another), other than goods or works, except those incidental or consequential to the service, and includes professional, intellectual, training and advisory services or any other service classified or declared as such by a procuring entity but does not include direct engagement of a retired Government servant. Note: These Services typically involve providing expert or strategic advice e.g., management consultants, policy consultants, communications consultants, Advisory and project related Consulting Services which include, feasibility studies, project management, engineering services, finance, accounting and taxation services, training and development etc [GFR-2017, Rule-177].

5. Works: Works means all new constructions, site preparation, additions and alterations to existing works, special repairs to newly purchased or previously abandoned buildings or structures, including re-modelling or replacement. Minor works mean works which add capital value to existing assets but do not create new assets. Repair works means works undertaken to maintain building and fixtures. Works will also include services or goods incidental or consequential to the original or repair works [GFR-2017, Rule-130].

6. Capital Equipment: Capital equipment consists of machine, plant, office, equipment, workshop/office furniture, vehicles etc. The requirements of capital items for the unit are sanctioned by the competent financial authority (CFA) as per the delegation of financial power. The procurement of Machine/Plant/Vehicle & 'work' and capital equipment does not fall under the category of 'stores & services' procurement and is to be purchased as per the AVNL Procurement Manual (P&M).

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7. Scope of Manual: This manual deals with procurement of goods (stores) and services as classified in subsequent paragraphs of this chapter.

8. Direct Project Material/ Production Material: Direct Project Materials or Production Materials are those which form part of the end product and are either directly consumed in production/ Overhaul or are required for supply against contracts/ orders. These are raw materials, consumables, components, spares and accessories, castings and forgings etc., which go into the manufacture/repair/overhaul of end products. The bulk of the production materials in the defence industry is required to be purchased only from approved/established sources. Such stores are required to be covered by certificate or any other document as prescribed by Quality, bearing the signature of an approved inspection authority. The requirement of production material is linked with production programme of the unit and Material Purchase Requests are to be raised by Material Planning/Control Department.

9. Overhead Materials/Indirect Materials: All other types of materials which are not directly used in production but are required for the production process or functioning of the organization are classified as overhead/indirect materials. Such materials fall under two main categories:

9.1 Stock Items: These are regular consumption items where stock levels are maintained and procurement initiated based on re-order levels. Such items are required to be stocked for issue as and when required. The demand of such stock items shall be generated by the Material Planning (MP) Section.

9.2 Non-stock Items: Demand for such specific items is raised by the user departments/section in the form of Material Purchase Requisition (MPR). In such cases approved MPR to be provided by Indenting Department to Purchase Department for procurement. Such materials will generally be issued to respective users immediately upon receipt against the demand note.

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10. Tool, Gauges & Measuring Instruments : The material purchase request for these items shall originate from Tool Planning Department/production shop. This category of items includes hand tools, standard/special cutting tools, measuring gauges & instruments, jigs, fixtures, grinding wheels and honing stones. Quality and volume of production largely depends on timely supply of accurate tools and precision gauges. It is therefore necessary that purchase of such tools, gauges & instruments are restricted to only reliable sources which should be approved after visiting the manufacturers, facilities and surveying their processes and quality assurance methods, financial soundness and commercial standing.

11. Maintenance Spares Including Vehicle Spares: The supply of Maintenance spares is vital to keep the capital equipment/plant in serviceable condition. At the time of selecting plant and equipment, special care shall be taken to study in detail the after-sales services offered by the Supplier and Plant Maintenance Department shall undertake VED analysis in order to restrict purchases only to inescapable insurance items. Commonly available spares of general nature, like belts, bearings, lamp filaments etc. shall not be purchased in bulk and attempts shall be made to establish local reliable sources and where possible rate contracts shall also be finalized so that plant maintenance can avail of these facilities directly avoiding delay. Material Purchase Requests for these items shall be raised by Plant Maintenance Department.

12. Civil Engineering Requirements: Generally, the civil work is executed through the civil contract. However, civil items of emergent nature may be purchased by the Civil department directly by raising the demand. Material Purchase Requests for items of Civil Works like steel, Cement, Pipes, Sand, Bricks, Sanitary items etc. will be raised by Civil maintenance and approved by competent authority for provisioning.

13. Welfare Items: Human Resource (HR) Department shall raise Material Purchase Requisition for welfare items such as uniforms, personal utility items and requirement for running the canteen services etc. and approved by the competent authority for provisioning as delegated financial power. Generally non-provisioning/non-receipt of welfare items in time can create industrial unrest. Therefore, their timely

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availability even on short notice needs to be ensured. Welfare items of emergent nature may be purchased by HR department directly through Cash-Purchase as given/Local Purchase Committee through Spot tendering. Local Purchase committee will have representatives of HR, Material Management (MM) and Finance.

14. Medicines and Hospital Requirements: The Chief Medical Officer/Appointed Committee authorized by him/her shall assess the requirements of Hospital related items including medicines and other pharmaceutical items, based on projected consumption, stocks available and shelf life. The sources and mode of procurement (including proprietary) shall be indicated by the authorized officer/committee. Officer nominated by Chief Medical Officer shall raise MPRs for the requirements so assessed and approved by the competent authority for provisioning. Committee to maintain a directory of approved suppliers and periodically review and update. In order to control inventory and to ensure prompt supply of correct medicine, the ordering and receipt shall be handled in close association with the Chief Medical Officer who will nominate a Medical Officer for the same. The requirements of first aid centre located at various divisions/sections to be procured by purchase department of the unit in consultation with Medical and Safety section. The Purchase Department, in co-ordination with the Chief Medical Officer, shall carry out market survey and enter into rate contracts (if possible) with manufacturers/authorized dealers for supply of medicines at the Hospital/Government controlled bulk rates. For emergent requirements of medicines needed infrequently or in small quantities, local reliable dealers shall be appointed. In order to meet the day to day requirement of Medical & Health Department/Hospital including the requirement of inpatient, if considered appropriate, rate contract(s) may be explored as an option with sources that are in the local vicinity offering the best discount from MRP at the same time ensuring the maximum available shelf life.

15. Commercially-off-the-Shelf (COTS): Stores under this category are available commercially and have application in fields other than defence. These stores are easily available in the market. Standard Procurement Procedures of the Government of India can be applied while procuring COTS items. Both direct and indirect items may fall under the category of COTS.

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16. Made-to-Order (MTO): Stores under this class do not have commercial applications. They are made specifically for the defence application, against specified drawings of AVNL units/collaborators/design agency or JSS/ other defence specification. MTO items, therefore, have limited sources and are difficult to procure. Consequently, for timely & reliable positioning of MTO items for production, special procurement procedures are necessary without compromising on transparency, competition or fair treatment of vendors.

17. Services: “Services” will mean any subject matter of procurement other than “Goods” or “Works” and include all Outsourced services such as Hiring & Maintenance of Transport, Canteen, Repair/AMC/Calibration of Machinery /Equipment/Computer including Medical & Office equipment, Repair of furniture, Operation & Maintenance Contracts, Performance Base Maintenance, Repair/Overhaul of Vehicle/System/Sub-systems, engagement of agency for recruitment of personnel, Freight Forwarder, IT implementation/support, Printing, Publication, Laundry, Binder or any other activities not covered under the “Works”. For “Services” purchase procedure stipulated in this manual will apply. After award of the contract by the Purchase Department, the monitoring of the execution/completion of the contract along with required certification and other technical and statutory compliance shall be the responsibility of the Indenting/User Department.

18. Office Equipment & IT Related Stores: All office related equipments including: office furniture, Personal Computers, Printer, office and antivirus software, and related accessories fall under the scope of this manual and can be purchased as per provisions made in this manual, subject to the availability of fund under the specific heads (Furniture & IT).

1.1 Approval for MPRs: MPRs raised by various groups as identified above has to be coordinated by Finance and approved by CFA for provisioning as per Delegation of Financial Power (DoFP).

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III. SALIENT FEATURES OF PROCUREMENT

Procurement of store by AVNL and its associated units falls under the category of Public Procurement and accordingly be done in a transparent manner to bring competition, fairness and which eliminates arbitrariness in the system. Accordingly, certain features of procurement have been derived:

- i.** The tender document should be comprehensive, unambiguous, and relevant to the objective of the purchase. The right and commonly used technical and industrial parlance need to be used.
- ii.** The specifications of the required goods should be framed giving adequate details. The specifications must be broad-based and meet the essential requirements, without including superfluous or non-essential features, which may result in unwarranted expenditure.
- iii.** The tender document should clearly mention the eligibility criteria such as minimum level of production experience, past performance, technical capability, manufacturing facilities, financial position, ownership or any legal restriction, etc. that need to be made by the bidders.
- iv.** Eligibility criteria should conform to extant Government policies (which includes the provisions of this Manual) and be judiciously chosen so as not to stifle competition amongst potential suppliers.
- v.** All aspects pertaining to tender preparations, submission, deadlines, acceptance, evaluation, ranking and conclusion of contract should be unambiguously and explicitly detailed.
- vi.** Offers should be invited following a fair, transparent and reasonable procedure. Tender enquiries (and subsequent amendments etc., if any) shall be given wide

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publicity, including display at the AVNL official website and mirrored at the Central Public Procurement Portal (CPP Portal).

vii. Sufficient time should be allowed to the bidders to prepare and submit their tenders. Suitable provisions should be kept in the tender document allowing the bidders a reasonable opportunity to enquire about the tender conditions, tendering process, and/ or rejection of its tender and the settlement of disputes, if any, emanating from the resultant contract.

viii. Bidders must not be permitted to alter or modify their tender responses after the expiry of their deadlines for submission; such modified bids will be summarily rejected.

ix. Tenders should be evaluated only as per the evaluation details provided in the tender documents. No new condition, which was not incorporated in the tender document, should be brought into consideration while evaluating the tenders.

x. Negotiations with the bidders must be avoided. However, under some circumstances, where price negotiations are considered unavoidable, they may be resorted to only with the lowest evaluated responsive bidder, with the approval of the CFA only after duly recording reasons for such action.

xi. At every stage of procurement, the procuring authority must place on record, in precise terms, the considerations which weighed with it while taking the procurement decision.

xii. The name of the successful bidder to whom the contract is awarded should be appropriately notified for the information of general public, through the AVNL and Central Public Procurement Portal. Wherever display in website is prescribed in this manual, it shall also imply mirroring at the Central Public Procurement Portal (CPP Portal).

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1. e-Procurement: Except purchases through Cash-Purchase, Local Purchase Committee (LPC), all purchases to be done through e-procurement system available at GeM, CPP / DDP DoO e-procurement portal or any other e-procurement portal approved by AVNL, strictly adhering to guideline and directives issued by MoD from time to time. The e-procurement system adopted should support all modes of tendering like OTE, LTE, GTE, and STE.

There may be instances where considering the type of product (or services)/procurement, e-procurement may not be the appropriate procurement process, in such cases manual tendering process may be followed with the prior approval of Director/Operation, AVNL, duly recording the reasons for the same.

2. Consideration for Purchase Quantity: Purchase quantities in excess of requirement are not permitted. A demand should not be split into small quantities for the purpose of avoiding the necessity of taking approval of the higher authority required for sanctioning the purchase of the original demand.

3. Timely Procurement: To reduce delays, the time-frame stipulated for each stage of procurement should be adhered to. The contract should be concluded within the original validity of the tenders. Extension of tender validity must be discouraged and resorted to only in absolutely unavoidable, exceptional circumstances.

4. Competent Financial Authority: Financial powers have been delegated to various authorities in AVNL and its units, through the DoFP. These powers are to be used within the framework of laid down procedures, canons of financial propriety and amplificatory instructions.

- i. The powers so delegated also imply accountability; and the CFA must ensure that financial propriety and probity are observed in all cases.
- ii. All financial powers are to be exercised by the appropriate CFA. Where financial powers have been delegated to more than one authority under the same item/ head

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of delegation, authority with next higher delegated financial powers will constitute the 'next higher CFA'.

- iii. The financial powers delegated by AVNL to various authorities in AVNL and its units/establishments cannot be further sub-delegated by the delegate. However, on the strict understanding that the sole responsibility rests on them, the authorities to whom financial powers have been delegated may authorize officer(s) to sign communications and financial documents on their behalf conveying the sanction of the original delegate provided that the name of the officer who is so authorized is communicated to the Audit Officer concerned.
- iv. The recommendations of TPC will be concurred by Chief Financial Advisor/Financial Advisor and approved by CFA in the same TPC. CFA is the Chairman of relevant TPC/TEC. In case of dissent note/different opinion (Financial Advisor or any other TPC/TEC member), the decision of CFA will be final. CFA can overrule Financial Advisor or any other TPC/TEC member after recording reasons for overruling.
- v. The constitution of the TEC/TPC shall be as notified in the DoFP. However, the Chairpersons of these Committees (CFA), if necessary, may co-opt other relevant experts on the Committee. Reference in this manual to VSL TPC (Vendor Selection TPC) is to the appropriate TPC while performing initial activities for procurement (including vendor selection amongst other activities) indicated in subsequent chapters of this manual.
- vi. The CFA will be decided taking into consideration, the value of the original quantity to be ordered plus the Option Clause quantity. In case of foreign procurement, the current Exchange Rate of SBI, Parliament Street Branch/ RBI as on Tender bid closing date, shall be taken into consideration for determining the CFA. For the purpose of cost reduction and convenience, number of items or group of items may be clubbed for tendering, provided the CFAs are defined in advance before floating the TE by VSL TPC i.e. individual item wise or all items together.

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vii. In umbrella agreements of multi-years (including RCs), CFA shall be decided on the basis of average annual requirement and not the sum of annual contracts.

viii. In respect of cases beyond the powers of unit/TPC-I that have been duly approved, unless specifically decided otherwise by the CFA, subsequent operations shall be done by the relevant CFA (TPC) after strictly complying with the provisions of this Manual.

5. Consultation with Finance: Procurement above the prescribed threshold limit in the DoFP shall be done only with the concurrence of Finance at all the prescribed stages. Though Finance is an integral part of the TPC/TEC structure, a financial concurrence will also be required on the recommendations of the TPC prior to CFA's approval in the same TPC. In case of disagreement/ non concurrence by the Financial Advisor (FA), the CFA can overrule the Financial Advisor (FA) after recording reasons for overruling the views of FA. In all cases where the CFA has overruled the advice of Finance, the Secretary of the TPC shall send a copy of the TPC minutes to the Director Finance, AVNL. Consequently, the Director Finance to examine the merits of case and issue necessary directives to the unit for each such cases. However, the CFA is accountable and responsible for her/his decision and accordingly, the decision of the CFA (although by overruling) shall stand firm and final.

6. Responsibility of Competent Financial Authority: CFA is the Chairman of relevant TPC/TEC. The CFA must consider all aspects of the case, including the quoted price, terms and conditions of the contract, delivery period, warranty, freight, insurance and other charges and the compliance with the technical specifications/QR before a purchase decision is taken. Conditional offers and those with specifications not in conformity with the tendered specifications (Essential QRs), normally should not be considered. However, in exceptional cases of any justifiable minor discrepancies, CFA (Chairman of relevant TPC/TEC) may take appropriate decision with recorded reasons. Wherever as per DoFP, delegated powers are exercisable subject to financial concurrence, it shall be ensured before according sanction that the requisite financial consultations have been done at all the prescribed stages. While



making the purchase decision, the CFA needs to satisfy himself/herself that: (i) proper procedures have been followed at various stages of procurement, (ii) purchase policies of the Government have been complied with, and (iii) capacity and financial status of the firm have been checked. Purchase decisions should be communicated only through a formal order in a written form.

7. Exemption/Relaxation: Government of India has issued general directives on (i) mandatory/preferential purchase of specified goods from specified suppliers (ii) extension of price preference (iii) exemptions/ relaxation from certain tender conditions like tender fee, EMD, PSD, etc., to certain categories of suppliers. In procurements attracting these general directives, the contemporary directives of the Government of India should be checked (from the relevant website) for necessary action. These contemporary directives shall apply in the procurement of Commercially-off-the-shelf (COTS) as well as Made-to-order (MTO) items. DDP may issue separate directives indicating the eligibility and nature of concession/relaxation in order to promote MSEs (Micro & Small Enterprises), Start-ups, Stand-ups etc. to be followed.

8. Standard Tender Document: Standard forms of tender are to be used as enquiry documents and contracts in line with the extant rules, regulations, directives, procedures etc. Deviations in the standard provisions of the standard documents may be permitted by an authority competent to grant waiver/ relaxation for the provision as per the DoFP. Extent of deviation that may be permitted by the said competent authority shall be as per the powers available to him under the DoFP for granting waiver/ relaxation.

9. Time Frame: All activities must be undertaken expeditiously, and consultations/ advice rendered within a specified time frame. The time-frame, as envisaged by the AVNL units (in the form of SOP), shall be adhered to in the procurement process to ensure that the bids are finalized within validity period. In case the prescribed time frame cannot be adhered to in any specific case, suitable extension of validity of the bids should invariably be asked for, after recording valid reasons justifying extension of the said validity.

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IV. DEVELOPMENT OF MICRO, SMALL & MEDIUM ENTERPRISES

1. The Micro, Small and Medium Enterprises Development Act 2006 provides that: “For facilitating promotion and development of micro and small enterprises, the Central Government or the State Government may, by order, notify from time to time the preference policies in respect of procurement of goods and services produced and provided by micro and small enterprises by its Ministries or departments, as the case may be, or its aided institutions and public sector enterprises”.
2. Any order issued by Central Government in relation to Micro, Small or other sections of Industries relevant to procurement shall be followed by all units under AVNL.
3. Currently, one such Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012 w.e.f 01.04.2012(subsequent amendment DPE.OM. No. PP-7(4)/2007-Fin dated 14.11.2018), is in force and should be strictly adhered to.
4. The Public Procurement Policy shall apply to Micro and Small Enterprises registered with District Industries Centers or Khadi and Village Industries Commission or Khadi and Village Industries Board or Coir Board or National Small Industries Corporation or Directorate of Handicrafts and Hand-loom or any other body specified by Ministry of Micro, Small and Medium Enterprises (MSME).
5. Declaration of Udyog Aadhaar Memorandum (UAM) number by the MSME vendors on CPPP/AVNL e-procurement portal should be made. The MSE bidders who fail to submit UAM number will not be able to avail the benefits available to MSEs as contained in Public Procurement Policy for MSEs Order, 2012 issued by MSME for tenders invited electronically through CPPP/AVNL e-procurement portal.

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V. STARTUPS

1. Definition Of Startup: An entity is considered to be working towards innovation, development, deployment or commercialization of new products, processes or services driven by technology or intellectual property, if it aims to develop and commercialize: (i) A new product or service or process, or (ii) A significantly improved existing product or service or process that will create or add value for customers or work-flow. Provided that the mere act of developing: (i) Products or services or processes which do not have potential for commercialization, or (ii) Undifferentiated products or services or processes, or (iii) Products or services or processes with no or limited incremental value for customers or work-flow would not be covered under this definition. Here, the term Entity means a private limited company (as defined in the Companies Act, 2013), or a registered partnership firm (registered under section 59 of the Partnership Act, 1932) or a limited liability partnership (under the Limited Liability Partnership Act, 2002).

2. Relaxation Of Norms For Start-Ups: AVNL shall relax the following eligibility criteria for registration from Start-Ups in order to encourage them to participate in supplies for AVNL procurement:

2.1 Prior Turnover

2.2 Prior Experience

3. Start-Up Recognition: Start up is a Company that has been in existence for less than Five years and with sales revenues not exceeding Rs 25 crore. Apart from innovation, such Start-Ups will be expected to be engaged in the development, deployment or commercialization of new products, processes or services driven by technology or intellectual property.

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4. Identification Of Area: AVNL shall identify areas of Start-Ups which will be hosted in AVNL website under 'separate tab' and Vendors need to contact R&D division of AVNL for Start-Up activities.

5. Payment For Start-Up: Advances up to 15% may be considered if request is received by AVNL against Bank Guarantee. The interest on the advance amount is not to be insisted from Start-Ups.

6. Start-Ups & iDEX Challenges: Under the Chapter-III (PROCEDURE FOR PROCUREMENT UNDER 'MAKE' AND 'INNOVATION' CATEGORIES) of DAP-2020, MoD has set up Innovations for Defence Excellence (iDEX) initiative under the Defence Innovation Organization (DIO) and Technology Development fund (TDF) under DRDO to use a multi-pronged approach and reach out/engage a large pool of innovators/technocrats/professionals/academicians including amongst the smaller enterprises, start-ups and MSMES, to foster innovation in a coherent, strategized, and integrated manner.

7. Procurement of Stores/Sub-System/System developed under iDEX Challenge: In this regard communication (via email) received from iDEX-DIO, DDP, MOD Dated: 19.01.2022, and the same has been incorporated: The products developed by any innovator / Startup/Company under iDEX initiatives need to be treated at par with Proprietary sources and taken up for procurement under that category. In case more than one innovator/ Startup / Company has accepted the challenge and accomplished the same, the procurement would be done on limited tender basis restricting the tender to such successful innovator / startup / company.



VI. CATEGORISATION OF PROCUREMENT

The requirement for procurement of goods may arise for catering to the annual production and allied activities, building up authorized stocks, repair and maintenance of assets. Similarly, the need for procurement of services may arise for maintenance of equipment/assets, outsourcing the services that can be economically performed in trade or where facilities are not available/not adequate in-house, and for engaging experts and consultants.

1. Ex-Import: An item already established by any of the AVNL unit or indigenized, should normally not be imported. However, decision to import can be taken considering the in-house production capacity, delivery timelines, the product mix, availability of manpower, condition of plant & machinery etc. and after duly recording specific reasons with the approval of Head of Unit. While initiating the case, at the time of taking decision for placement of order as well as taking all subsequent decisions like extension/re-fixation of delivery period etc., all relevant aspects like capacity of the concerned AVNL unit, availability of indigenous sources, capacity and reliability of indigenous sources, cost of indigenous supplies v/s the import cost etc. should be kept in view. The supply position of indigenous sources should be ascertained at every stage of procurement.

2. Import Restriction: Vide notification F.NO. 12/17/2019-PPD, Dt 15.05.2020, Ministry of Finance, Department of Expenditure, Public Procurement Division, has issued the amendment in General Financial Rule (GFR), 2017- Global Tender Inquiry. With regard to all import actions, all AVNL unit shall adhere to Amended Rule 161 (iv) and subsequent amendments/clarifications issued from time to time. In this regard, the office Memorandum: No. F.41112021-PPD dated 03.08.2021, Government of India Ministry of Finance, Department of Expenditure Procurement Policy Division, shall prevail till further orders.

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3. Make or Buy Decision: Policy on make or buy (including import substitution) decision should be such that it not only promotes optimum utilization of in-house capacity in AVNL but also lays equal emphasis on cost of production being reasonable. After weighing all facts, an appropriate make or buy decision shall be taken by Empowered Committee of Procurement.

4. Outsourcing: Non-core activities should, as far as possible, be outsourced, if cheaper options can be found outside AVNL & resources thus released should be utilized for core activities.

5. Empowered Committee of Procurement (ECoP):

5.1 Constitution: The constitution of Empowered Committee of Procurement at Unit level shall be as under:

- i. Head of the Unit-Chairman
- ii. Head of Planning-Member
- iii. Head of Material Management-Member
- iv. Chief Financial Advisor-Member.
- v. All Heads of Production-Member

5.2 Role & Responsibility: The prime responsibility of the Empowered Committee of Procurement (ECoP) shall be:

- i. Categorization of Stores under the class A, B & C considering the cost and lead time for procurement (periodicity two years).
- ii. Categorization of stores: Indigenous/Ex-Import considering Indian Defence Eco-System of the country (periodicity two years).

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- iii. Decision for not resorting to SD-OTE to develop the further sources for critical stores having sufficient (more than three) and reliable vendor base (periodicity two years).
- iv. Decision for not resorting to SD-OTE to develop the further sources for critical stores having two or three sources. However, such decision shall be taken considering the merit of the stores and previous efforts made to develop further sources (periodicity three years).
- v. To review the list of critical stores for decision taken under above para.
- vi. Identify the activities for outsourcing.
- vii. Review of all BNE (Buyer's Nominated Equipments) or User/Designer's Designated Equipments used in the platform with regard to their availability & pricing and suggest the actions to be taken as per procurement manual.
- viii. Review of list of stores procured from all Public Sectors Units (PSUs) and take appropriate decision to develop alternate sources through SD-OTE considering the facts: (a) supplies from these PSUs in accordance with production schedule of the unit (b) rates reasonability (c) after sale service during warranty and thereafter.
- ix. Review of all stores procured on SKS/PAC basis and suggest the future course of action so that the scope for competition can be explored.

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VII. PURCHASE PROCEDURE

1. Authority of Procurement: Contracts/Deemed Contract/Agreements signed with any customer including with Units under AVNL and DPSUs, Supply Plans issued by AVNL and Purchase Requisition raised by the user section are the required authority for procurement.

2. Specification: Every authority delegated with the financial powers of procuring goods in public interest shall have the responsibility and accountability to bring efficiency, economy, and transparency in matters relating to public procurement and for fair and equitable treatment of suppliers and promotion of competition in public procurement. The procedure to be followed in making public procurement must conform to the following yardsticks :

- i. The description of the subject matter of procurement to the extent practicable should be objective, functional, generic and measurable and specify technical, qualitative and performance characteristics.
- ii. Where applicable, the technical specifications shall, to the extent practicable, be based on the national technical regulations or recognized national standards, wherever such standards exist, and in their absence, be based on the relevant international standards.
- iii. All procurements have to meet the stringent specifications prescribed. In addition to qualitative requirements, the specifications indicate the detailed qualitative requirements of the item being procured and shall indicate all relevant requirements/parameters like: (i) material composition (ii) physical (iii) dimensional (iv) performance (v) tolerances (if any) (vi) manufacturing process (where applicable) (vii) test/inspection schedule (viii) acceptance criteria (ix) preservation & packing (x) transportation requirements (especially relevant for chemicals), etc, without any superfluous requirements that may have the effect of stifling competition or increasing expenses.



- iv. AHSP/Specifications promulgating authority should periodically forward copies of specifications/amendments to all agencies concerned to ensure that goods of current specification are purchased.

2.1 Proprietary Article Specification: These are available only with the proprietary firm (OEM) and are protected by the intellectual property rights. PAC specifications are normally not available with the purchaser and therefore these stores may be accepted based on the firm's certificate of quality.

2.2 Branded Product Specification (Reference to Brands in specification): To the extent possible, broad-based specifications, use of industry standards in the specification, etc., will promote healthy competition in procurement. Therefore, a specific brand or catalogue number of a brand, etc. should not be referred to in the tender. However, in some unavoidable situations (while purchasing the spare parts required for machine/equipment, transport vehicle, inserts for specific cutting tool holders) if it is essential to buy an item of a specific brand name, then LTE shall be issued to all known authorized dealers for that brand or OTE to be resorted to get competitive offers from authorized dealers. The specifications for branded commercial product are not available with the purchaser or the inspecting agency and these are to be accepted on the firm's guarantee/warranty and certificate of conformity.

2.3 Industrial Specifications: There are standard industrial specifications like: IS, BS, DIN and GOST available for sale in the market. In the case of medical stores standard specifications are issued by WHO, FDA, CE etc. Every procuring and inspecting agency should acquire such specifications for reference to ensure quality standard of the product being procured.

2.4 Defence Specifications: There are defence specifications for specific items for use by the defence departments, particularly the defence services. These are Joint Services Specifications, Mil-specs, etc. Copies of such specifications should be available with the procuring agency, inspecting authority and the AHSP.

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2.5 Indigenized Item Specification: The manufacturing agency, QA agency, DRDO, AVNL and Service Headquarters, involved in the indigenization efforts often successfully indigenize some items as import substitutes. In such cases, the specifications, including the drawing and other details, are formulated by these agencies in consultation with the user, manufacturing firms, and QA agency, Design agency, Service Head Quarters (as the case may be) to guide future production. Such specifications should be available with the purchase agency as well as the inspecting authority so as to ensure conformity with the required quality standards of the items being supplied.

2.6 Ad-hoc Specifications: There may be items for which neither the industrial nor the defence specifications are available. In such cases, the Indentor must indicate the general parameters, normally the dimensions, mechanical parameters, chemical composition, performance parameters, etc. to enable procurement and inspection. Such ad-hoc specifications must be broad enough to permit wider participation by the suppliers and should not be restrictive.

2.7 As per Sample Specification: There are occasions when items, normally PAC products, cannot be procured from the original manufacturer and have to be procured from another manufacturer as per sample in the absence of detailed specifications or drawing. For such items, the supplier prepares detailed specifications as well as the drawing and gets it approved by the purchaser. The purchaser and the inspecting authority should acquire such specifications and drawings and retain with them to guide future production and inspection.

2.8 Common Use Items Specification: There are a large number of items used by the AVNL units which are common/generic in nature, freely available in the open market. As in the case of ad-hoc specifications, specifications of common use items should also be broad enough to permit wider participation by the suppliers and should not be restrictive to stifle competition.

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3. Store Holders Inability/Material Planning Sheet: For procurement of any item a Store Holder Inability Sheet (SHIS)/Material Planning Sheet (MPS) shall necessarily be prepared, duly indicating the requirement, present stock, dues and the net requirement. The Store Holders Inability Sheet and the Material Planning Sheet together provide the complete details of the computation of quantities to be procured. Normally, the annual requirement is taken into consideration for preparation of SHIS/MP Sheet. The reference to annual requirement in respect of direct material shall include the requirement for the first quarter of the subsequent year. SHIS/MPS for multiple year requirements can also be generated wherever relevant. Attention shall be paid to the shelf life (where relevant) of the item to eliminate avoidable losses in storage. In such cases staggered deliveries should necessarily be resorted to. Following guidelines to be followed in respect of SHIS/MPS:

- i. If valid labour estimate exists in the AVNL Units for the item (or operation) being procured (or outsourced) from trade then justification for the procurement (or outsourcing) shall be recorded, and the Unit shall ensure that payments for the same work (or operations) are not claimed for departmental labour also.
- ii. The SHIS/MPS has to be vetted by QC/Pattern Office/Design Office/Standard Cell for the technical specification to ensure that material is procured as per the latest drawings/ technical specifications.
- iii. Direct material SHIS/MPS is not required to be vetted by the Finance but to be signed by the Group In charge.
- iv. SHIS/MPS will have a life of 12 months (i.e. SHIS generation to issue of tender) and will need re-validation thereafter by Group Officer of Material Planning Section.
- v. The cases where contracts are delayed or existing supply orders not likely to fructify, then to save time, procurement action can be initiated on provisional

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SHIS/MPS and can be processed up to Tender opening stage with the approval of Head of Unit.

4. Quantity to be Purchased: Following guidelines shall be followed while deciding the quantity to be procured:

4.1 Direct Material: The procurement for all direct materials would be taken based on the delivery schedule indicated in the contracts/agreements entered into by AVNL or its units. This procurement could be covering one year or multiple years requirement. The VSL TPC shall, as a part of due diligence, after considering the nature of the store, lead-time & difficulty involved in procurement, vendor development, need for indigenization etc. take an appropriate decision as to whether it would be prudent or/and advantageous to procure:

- i. The annual requirement *or* part of annual requirement or
- ii. The multi-year requirement. However, prior approval of the Director Operations shall be taken for initiating any multi-year procurement.

4.2 Multi-Year Procurement Procedure (Long-Term Umbrella Agreement) for MTO Stores:

- I. Such Agreement/Contracts may be concluded up to Five years for MTO items with suitable PV clause, if required.
- II. Such Agreement/Contracts shall be on agreed delivery schedule/period commensurate with production program.
- III. Such Agreement/Contracts may even be concluded at the same rate parallel with multiple vendors to ensure reliability, continuity and ease of supply.
- IV. CFA in such Agreement/Contracts shall be decided on the basis of total tendered quantity of contract years.

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4.3 Indirect Material: Procurement of indirect materials (not required directly for production) shall be made on the basis of monthly average consumption during the preceding 24 months, duly making an allowance for relevant factors like the quantum of production, machines being utilized, product-mix, etc. For new indirect materials the necessity for procurement shall be approved by the Head of the Unit.

4.3 Quantity Justification: The Vendor Selection TPC shall also deliberate on the justification for the quantities proposed for procurement and record such decision taken for all items (direct & indirect).

4.4 Provision for Excess Procurement: There may be a case where despite covering full requirement (as per available contract) through supply order (s), the materials are not being supplied by the suppliers as per contractual schedule. For such cases, if it is feasible to manufacture the item in-house, the required raw materials or any other inputs, covering up to 25% of the supply order (s) qty can be purchased additionally with the prior approval of Director (Operation), AVNL, without canceling the existing supply order. This additional provisioning, as mentioned in this para, can also be done via means of outsourcing the required store from other established supplier.

5. Procurement Lead Time: Timely procurement action should be initiated duly taking into account the procurement lead-time and the production throughput-time so that the end-product issue plan matches with the requirement projected by the Indentor. Apart from initiating timely action, the case shall also be processed expeditiously at every stage of examination and the model time-frame as decided by the respective units shall be complied with.

5.1 Prompt and timely action should be taken, for both indigenous as well as imported items, so that stock-out situations are avoided to ensure continuity of production while at the same time maintaining the overall SIH inventory within the authorized limit.

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The authorized SIH inventory level is six months to one year for all AVNL units. However, the overall inventory shall be maintained by the Units within the limit specified by AVNL. A higher SIH inventory holding can be authorized under exceptional circumstances by AVNL.

5.2 Stocking of COTS and Rate contract items are to be decided on the basis of contract terms and conditions (should not be more than 6 months).

5.3 In the event of any AVNL unit holding inventory in excess of their authorized limit, the unit shall work out a time-bound action plan for liquidation of the excess inventory.

5.4 The unit shall closely monitor & progress the action plan duly associating the Financial Advisor.

5.5 AVNL shall also monitor the progress of liquidation on yearly basis.

5.6 Since procurement of stores is based on the SHIS with the deficiency being worked out after considering the stocks, work-in-progress (WIP) and dues, it will not result in the procurement resulting in holding stock of the item in excess of the requirement. However, any change in production programme of any end product due to increase or decrease in demand or any other reason will necessitate mid-course review.

5.7 The provisioning period comprises of: (i) the lead time, intended to cover all actions right from assessment of net requirement up to completion of delivery by the supplier, and (ii) the period of utilization, which is the production period during which the entire ordered quantity (including the stocks and dues existing at the time of the provisioning action) will be utilized for meeting the production target. Normally the period of utilization is 12 months (plus the first quarter of the subsequent year).

6. Stockpile: Stockpile is an emergency reserve of imported and difficult to procure indigenous stores clearly identified as such, held for the purpose of enhancing the

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responsiveness of production units to unexpected demand surges and stock out situations. Once an item is identified for stockpiling and its quantity determined, the competent authority shall be approached for sanctioning the stockpile creation. Maximum permissible Stockpile for imported and difficult-to-procure indigenous stores is 12 months and 8 months respectively, unless otherwise higher levels have been specifically authorized by AVNL through a separate order.

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VIII. MODES OF PROCUREMENT AND SELECTION

Tendering method should be flexible enough to accommodate different procurement methods. The most transparent method is to allow all the potential suppliers to participate in the tendering process without limitations. However limited tendering is justifiable wherever it is not feasible or efficient to consider and evaluate large number of potential suppliers considering the complex nature of the store. The limited tendering should be equally transparent and to be conducted in accordance with the procedures laid down in this manual. Selection of suppliers for limited tendering should ensure that items planned for procurement is in the supply range of the bidders. The procurement of non-project material (indirect items) through Proprietary/single tendering could be used only in exceptional circumstances since the selection criterion for suppliers are not available. Once in every year review of the items procured on proprietary/single tender to be made and the scope for competition to be explored. An Empowered Committee of Procurement needs to be constituted with the approval of Head of the Unit to carry out the review. This chapter principally deals with the procurement through tendering.

1. Purchase Through Tendering: Procurement of stores by obtaining tenders shall be done by adopting the following standard methods. These standard methods shall also apply for procurement of services, subject to other instructions contained in this Manual being followed.

- i. Advertised Tender Enquiry (OTE/ GTE)
- ii. Limited Tender Enquiry (LTE)
- iii. Single Tender Enquiry (STE)
- iv. Proprietary Article Procurement
- v. Single Known Source (SKS)
- vi. Electronic Reverse Auction

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2. Tendering (e-Procurement): In stores procurement all tendering shall be done through e-procurement mode only. The Manual Tendering, in exceptional cases, be resorted only after obtaining prior concurrence of Director (Operation) - AVNL, citing reasons for such exemption.

3. Open Tender Enquiry/Global Tender Enquiry: Open Tendering is the most preferred method to be followed. Open tendering is a system whereby even non-registered vendors are free to participate and allowed to quote against the tender advertised on the GeM, CPP Portal, and AVNL website. In case the procurement is intended to be on global basis then the tender to be advertised in the Indian Trade Journal/Indian Export Service Bulletin (IESB). In addition, copies of the tender documents may be made available to the Indian Embassies in potential vendor countries abroad for issuing the tenderers besides making the documents available to the Trade Commissioners of Foreign Embassies in India. In open tendering, all the known and possible sources for the supply of the particular material are made aware of the requirements by sending to them a copy of the advertisement. The advertisement is also to be hosted in the AVNL's website. The purchase section to ensure that the complete bid document should be available on the website, till last date of submission of tenders, for purposes of downloading. This system (OTE/GTE) is not mandatory for purchase of production items from already approved/proprietary/developed sources and also where Licence Agreements/Long Term Contracts are in force besides such other items where prices are controlled / administered by the Government.

Procurement by advertisement should normally be used for procurement of stores (other than Made-to-Order (MTO) stores) with an estimated value more than Rs.25 lakh, subject to the exceptions prescribed in this Manual. OTE procurement may also be with a pre-qualification requirement. OTE being the preferred mode for procurement, the CFA may resort to it even in those cases where other modes for

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procurement from trade have been prescribed in this manual. No manual tendering for OTE/GTE cases.

4. Source Development: The source development OTE (SD-OTE) is done to develop new sources for both MTO & COTS items.

5. Limited Tender Enquiry [for Store Value < 25 Lakh]: LTE may be adopted (for other than MTO items) when estimated value of stores to be procured is up to Rs.25 lakh (including the OC quantity). Tender should be issued (only through e-procurement mode) free of cost simultaneously to all the firms, which are borne on the list of registered suppliers or established suppliers for the stores after due consideration of their past performance/ response, if any. The number of supplier firms in LTE should invariably be three or more [GFR-2017, Rule-162]. Efforts should be made to identify a higher number of approved suppliers to obtain more responsive bids on competitive basis. LTE can be issued to foreign vendors also. Sufficient time should be allowed for submission of bids in Limited Tender Enquiry cases [GFR-2017, Rule-162]. Further, an organization should publish its limited tender enquiries on Central Public Procurement Portal (CPPP) as per GFR-2017, Rule-159. Apart from CPPP, the organization should publish the tender enquiries on the Department's or Ministry's websites. In the case of procurements made through DGS&D Rate Contracts (GeM) or through any other Central Procurement Organizations (CPOs) only award details need to be published. These instructions would not apply to procurements made in terms of provisions of Rules 154 (Purchase of goods without quotations) or 155 (Purchase of goods by purchase committee) of General Financial Rules.

6. Limited Tender Enquiry [for Store Value >25 Lakh]: Purchase through LTE may be adopted (for other than MTO items) when the estimated value of the procurement is more than Rs.25 lakh (including the OC quantity), in the following circumstances, with the approval of Head of Unit (If CFA is Head of Unit, then approval of next higher CFA) :



- i. The competent authority certifies that the demand is urgent and any additional expenditure involved by not procuring through advertised tender enquiry is justified in view of urgency. The competent authority should also put on record the nature of the urgency and reasons why the procurement could not be anticipated earlier.
- ii. The sources of supply are definitely known and possibility of fresh source(s) beyond those being tapped is remote.
- iii. The item to be procured is such that pre-verification of competence of the firm is essential, hence requires registration of firms.
- iv. To prevent stock out situations, to cater unforeseen requirements of the Armed Forces/ MHA and on the ground of national security as per directive of MoD. The CFA shall certify and record justification.

7. Limited Tender Enquiry [for MTO Store Value <25 Lakh]: If the estimated value of the proposal for a MTO item, is up to Rs. 25 lakh (including the OC quantity), then the entire deficient quantity may be procured through LTE without insisting on Source Development Open Tender Enquiry (SD-OTE), provided there are minimum 3 established vendors with valid registration and no cartel is suspected (to be recorded after due diligence by the relevant TPC). If the number of established & registered vendors is less than 3, then, established & registered vendors for the same range of products/ goods/ services/ technology can also be included for the LTE. If the number of established vendors with valid registration for the same range of products/ goods/ services/ technology is less than three or cartel formation is suspected / confirmed, then procurement shall be done as per the procedure detailed for MTO items in the **Chapter- XI**. Further, an organization should publish its limited tender enquiries on Central Public Procurement Portal (CPPP) as per GFR-2017, Rule-159. Apart from CPPP, the organizations should publish the tender enquiries on the Department's or Ministry's websites.

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8. MTO Store Procurement [Store Value >25 Lakhs]: If the MTO procurement is above Rs. 25 lakhs (including the OC quantity); or (ii) there are less than 3 established vendors with valid registration for the same range of products/goods/services/technology or (iii) cartel formation is suspected/confirmed, then procurement will be done as per the procedure detailed for MTO items in the **Chapter-XI**.

9. Limited Tender Enquiry & Last Supplier: In all LTE cases, it is mandatory to include the name of last supplier unless the performance in terms of delivery, quality etc has been recorded unsatisfactory.

10. Single Tender Enquiry (STE): When the purchase is finalized on the basis of an offer from a single source, it is called a 'Single Tender Purchase'. It needs to be recognized that the competition is totally eliminated and the possibility of paying higher prices cannot be ruled out. It is imperative that the purchase on single tender basis be made with the detailed justification in its support and with the approval of Competent Authority, including associated finance. Therefore, this mode of purchase should be resorted to only in unavoidable situations. Purchase through STE may be adopted when:

- i. It is in the knowledge of the user (for indirect item)/ purchase department (for direct material) that only a particular firm is manufacturing the required stores. The reason for arriving at this conclusion is to be recorded and approval of the competent authority obtained.
- ii. In a case of emergency, the required stores are necessarily to be purchased from a particular source, subject to the reason for such decision being recorded and approval of the competent authority obtained.
- iii. For standardization of machinery or components or spare parts to be compatible to the existing sets of machinery/equipment (on the advice of a competent technical expert and approved by the competent authority), the required goods are to be purchased only from a selected firm.



- iv. The relevant Proprietary Article/ Single Known Source Certificate (in the format given at the end on this Manual) should be provided by the CFA as per the DoFP before procuring the stores from a single source under the provision of subparagraphs (i) & (iii) above as applicable.
- v. Suitable tender document, containing required terms & conditions are to be issued to the selected firm for preparing and sending its quotation. The question of 'late tender' as well as elaborate process of receipt & opening of tender, as applicable for advertised tenders and LTE, will not apply in case of procurement through STE.
- vi. PAC/ SKS sources at times do not accept some of the standard tender conditions. In such cases, the firms should be persuaded to comply with the standard terms & conditions. If they are still unwilling to accept the standard terms & conditions, then, since no other alternative source is available, HoD (for unit level cases) & Director-Operation (for AVNL level cases) can grant relaxation/ exemption. In such cases of SKS procurements, the AVNL unit shall necessarily increase its efforts to develop alternate sources.
- vii. In case of repetitive STE for specific stores, the efforts made in the past to develop alternate sources be recorded while issuing SKS/PAC Certificate.
- viii. Once the SKS/PAC certificate is issued by the Competent Financial Authority in consultation with Finance, Vendor Selection (VSL-TPC) TPC becomes redundant and therefore no such VSL TPC is required.

11. Proprietary Article Procurement: Certain items, particularly equipments/machine spares, are the propriety product of a manufacturing firm. Such items are only available with that firm or their dealers or distributors since detailed specifications are not available to others for manufacturing the item. Situations may also arise when, for standardization of machinery or ensuring compatibility of spare parts with the existing sets of equipment, goods and services have to be obtained from a particular source. In such situations, a Proprietary Article Certificate may be issued

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to the original equipment manufacturer (OEM)/Authorized Dealer and items procured on PAC basis from that particular firm or its authorized dealers or distributors. Following guidelines to be followed for PAC purchases:

- i. While PAC is issued in favour of the concerned OEM, the item to be purchased from OEM only (not through authorized dealer).
- ii. In case the OEM insists that purchase to be made through an authorized dealer/system-house/system-integrator, the PAC to be issued in the name of dealer authorized by OEM, only and only when the OEM has one dealer in the country (India).
- iii. In case the OEM insists that purchase to be made through an authorized dealer/system-house/system-integrator and the OEM has multiple dealers in the country, no PAC shall be issued in the name of a specific dealer and LTE/OTE to be resorted, giving equal opportunity to all authorized dealers.
- iv. In case of procurement through dealer, the purchaser must insist for documents: (i) Authorized Dealer Certificate issued by OEM, (ii) and Certificate of Originality of the store issued by OEM.
- v. The purchase will be made as per the DoFP for PAC cases. These provisions would also apply to repairs and servicing of equipment through the OEM/sole dealer/servicing agency, authorized by the OEM (as the case may be).
- vi. PAC bestows monopoly and obviates competition. Therefore, PAC status should be granted only after careful consideration of all relevant factors like fitness, availability, standardization and value for money. The CFA for issuing PAC shall be as notified in the DoFP.
- vii. It is common for OEMs to outsource their components/sub-assemblies/assemblies and not manufacture these themselves. Hence, such items may be available at a cheaper price with the actual manufacturers. The indenting/



procurement officers must, therefore, keep abreast of the probable sources and may procure items from the right source to protect the interest of the State. However, machinery spares should be sourced only from the OEM or OEM approved/recommended manufacturers to make the OEM responsible for malfunctioning, if any, of the main equipment in which the spares will be fitted beyond warranty period.

12. Procurement from a Single Known Source: New sources are to be developed through Open Tender Enquiry (OTE). At times OTEs may result in development of only one source. Pending development of more sources, 80% of requirement with 25% option clause may be procured on Single Known Source mode on the basis of an SKS Certificate to be issued in the prescribed format by the Competent Authority notified in the DoFP. The balance 20% of the requirement may be procured through SD-OTE, without option clause.

13. RC concluded by AVNL: AVNL may, where feasible, conclude Rate Contracts (RCs) through OTE on a 2- bids system for stores of standard type that are identified as common items and are needed on recurring basis by its units. RCs can be finalized through LTE with PSUs in respect of items which are known to be manufactured only by them. The AVNL units, as Direct Demanding Officer, can procure the items under the RC concluded by AVNL. The AVNL units can also conclude RCs under their delegated powers, if such RCs not covered by AVNL. When such RCs are concluded the specifications, prices and other salient details of the rate contracted items shall be posted on the common website, and appropriately updated, for use by all units under AVNL. The RCs concluded by the AVNL/Units shall be operated to the maximum extent possible.

14. Licensor/License Agreements: Tender is addressed to only Licensor/ Licensor nominated sources, and designated sources based on inter Governmental Agreements and General Contracts approved by Government of India. In case of License Manufacture, the licensor's document invariably indicates the details of items and the specific OEMs/Vendors from whom these items are to be procured. Procurement from

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Licensor nominated sources will be treated as proprietary, unless otherwise special financial powers have been delegated as per DoFP.

15. Procurement under Licence Agreement & Manual Tendering: All procurements from the Licensor (OEM of Technology Provider) or procurements under Licence agreement/Joint Ventures/Designers/Buyer's Nominated Equipments can be done via Manual Tendering (without prior approval of Director/Operation-AVNL), if the vendor doesn't agree for e-procurement.

16. Procurement from Customer Nominated Source: This mode of single source procurement is resorted to from a specific source nominated by name in writing by the customer. The following care should be taken while resorting to this mode of purchase:

- i. Procurement from customer nominated source can be resorted to only in case the purchase order/contract with the customer provides for such nomination by the customer. The same shall be regulated in the following manner.
- ii. Reference of specific part numbers of OEM in respect of BNE the contract entered with customer can be considered as basis for procurement of stores on SKS/PAC.
- iii. In case the nominated vendor quotes unreasonable price/Terms and Conditions and does not agree for reduction and waiving of unreasonable conditions, Unit should take up the matter with the customer for their concurrence to accept price / terms and conditions of the vendor. Accordingly, Unit to be compensated for extra cost incurred due to customer nominated items.
- iv. It should be ensured that the customer nominated source essentially originates from the customer.
- v. Procurement from customer nominated single source shall be done as per Single Known Source/PAC.

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17. Electronic Reverse Auction (ERA): Electronic Reverse Auction means an online real-time purchasing technique utilized by the procuring entity to select the successful bid, which involves presentation by bidders of successively more favourable bids during a scheduled period of time and automatic evaluation of bids [GFR-2017, Rule-176].

17.1 Criterion for Electronic Reverse Auction: A procuring entity may choose to procure a subject matter of procurement by the electronic reverse auction method, if:

- i. It is feasible for the procuring entity to formulate a detailed description of the subject matter of the procurement.
- ii. There is a competitive market of bidders anticipated to be qualified to participate in the electronic reverse auction, so that effective competition is ensured.
- iii. The criteria to be used by the procuring entity in determining the successful bid are quantifiable and can be expressed in monetary terms.

17.2 Procedure for ERA: The procedure for electronic reverse auction shall include the following, namely:

- i. The procuring entity shall solicit bids through an invitation to the electronic reverse auction to be published or communicated in accordance with the provisions similar to e-procurement; and
- ii. The invitation shall, in addition to the information as specified in e-procurement, include details relating to access to and registration for the auction, opening and closing of the auction and Norms for conduct of the auction.

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18. Procurement from Defence Public Sector Undertakings: Goods and Services may be procured from Defence Public Sector Undertakings through tender. Any items developed / manufactured by a Defence PSU specifically for the Defence Services, with transfer of technology or through design and development, should be procured from the concerned Defence PSU only. Similarly, Defence PSUs shall be approached for providing any service, such as repairs and overhauling, if facility for providing such services has been set up by a Defence PSU exclusively for the Defence Services. The nature of such procurement (STE/PAC), however, shall be decided as per DoFP of AVNL. Reasons for invoking this provision shall be recorded. However, this clause shall not be applicable once the decision is taken by the **Empowered Committee of Procurement (ECoP) to develop alternate sources for a specific store (Para-5, Chapter-VI).**

18.1 For cases other than category stated above, Defence Public Sector Undertakings (or Central Govt. Public Sector Undertakings) will have to bid for contracts through a tendering process open to private sector enterprises, for supplying goods and services to AVNL.

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IX. PROCUREMENT OF STORES FROM OTHER UNITS OF AVNL

1. **Introduction:** In addition to the procurement of stores from the trade, many direct items/stores/services are being manufacture and supplied by the sister units of AVNL to the final issuing Unit. And therefore, this particular chapter deals with procurement of stores and services from the Units under AVNL.

2. **Demand Generation:** Formal Material Planning Sheet (MPS) shall be generated based on Contracts/Deemed Contract/Agreements and the same shall be processed as per procedure laid down in this chapter. However, this procurement activity shall be dealt by the Planning Section of the respective Units.

3. **Methodology:** Following methodology shall be followed by all AVNL Units while sourcing the stores from the sister AVNL Units:

- i. No tendering to be resorted for procurement of stores from Units under AVNL.
- ii. Separate IFD shall be placed for each store/service.
- iii. The demand, in the form of IFD, can be placed by the Indenting Unit on the Supplying Unit (s) for full contract quantity along with monthly & yearly supply schedule so that the supplies can be planned in a more efficient manner.
- iv. Since there is no tendering (competitive bidding) mechanism is in place for procurement of such stores, the cost (pricing) and other terms & conditions shall be decided by AVNL HQ on yearly basis at the beginning of every financial year.

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- v. Any store (s) developed / manufactured by a AVNL unit (s) specifically for the other AVNL Unit, with transfer of technology or through design and development, should be procured from the concerned AVNL Unit (s) only.
- vi. Similarly, the Unit shall be approached for providing any other service, such as repairs and overhauling, if facility for providing such services has been set up by the supplying Unit exclusively for the other Unit (s).
- vii. All Units of AVNL shall create a template in their PPC (Information Management System) in line with the IFD format specified in this chapter for data mining and analysis.
- viii. The indenting unit can resort to the tendering process for procurement of such stores with prior approval of Director (Operation), AVNL, giving grounded reason for doing so (this situation may also arise if the supplying unit is not in a position to accept the IFD & supply the stores as demanded).
- ix. However, before seeking the AVNL approval for resorting to tendering, the subject matter shall be deliberated by the ECoP of the concerned unit and the decision of the committee shall be communicated well in advance to the Unit Head of the supplying Unit.
- x. Head of Units (indenting & supplying) shall make all possible efforts to resolve the issue related to IFD supplies at their level before approaching AVNL.

4. Placement of Demand: Indenting Unit of AVNL (user), after ensuring that the particulars mentioned in the Inter Factory Demand (IFD) are correct, shall place IFD on the supplying unit in the prescribed form giving, inter-alia, following particulars:

- i. Related Contract No and Date

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- ii. Correct nomenclature of the stores demanded together with the relevant manufacturing particulars etc.
- iii. Purpose for which the stores are required
- iv. Delivery Schedule (both monthly & yearly)
- v. Indenting factory shall also provide the feeder factory all particulars/drawings/specifications referred in the IFD and are required for execution of the IFD.
- vi. Copies of IFDs should be endorsed, among others, to the concerned AHSP/QA of indenting factory/Finance of indenting & supplying factories for necessary action by these authorities.

5. **Format of IFD:** Following format shall be followed for sourcing the stores from Sister AVNL Units:

INTER FACTORY DEMAND		
Demanding Unit with Code		Supplying Unit with Code
SI No	Description	Entry/Remark
1.	Inter Factory Demand No:	
2.	IFD Date:	
3.	Description of Store	
4.	Part/Drg. No	
5.	Quantity	
6.	Cost (Price) in Rs	
7.	Date of Commencement of Supply	
8.	Supply Schedule (Monthly)	
9.	Supply Schedule (Yearly)	
10.	Inspection Agency	
11.	IFD Vetting Authority with Signature (Chief Financial Advisor)	
12.	IFD Approving Authority with Signature (Head of Unit)	

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6. General Terms & Conditions: Followings are the general terms & conditions in respect of stores being outsourced from sister AVNL Units:

- i. The supplying Unit shall ensure that the Inspection Note has been issued by the agency mentioned in IFD.
- ii. The supplying Unit shall support the Indenting Unit towards repair/rectification and service support as and when demanded with or without financial obligation, as the case may be.

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X. PROCUREMENT WITHOUT TENDERING

1. Cash and Carry Procurement: Cash and carry purchase is resorted to in cases of extreme urgency or when the supplier is not willing to supply the required item on credit. Such procurement should be made only in exceptional cases. The cash payment is initially made from the Imprest fund of the unit and the same, on being claimed, is reimbursed by the paying authority after due audit of the transaction. This class of purchase does fall under the category Purchase of goods/services without quotation (tendering). Purchase of goods/services up to the value of Rs. 25,000 (Rupees twenty five thousand) only on each occasion may be made without inviting quotations or bids on the basis of a certificate to be recorded by the competent authority in the following format [GFR-2017, Rule-154]:

Certificate: *"I am personally satisfied that these goods/services purchased are of the requisite quality and specification and have been purchased from a reliable supplier at a reasonable price."*

2. Purchase of goods/services by Purchase Committee (LPC): Purchase of goods/services costing above Rs. 25,000 (Rupees twenty five thousand only) and up to Rs.2,50,000/- (Rupees two lakh and fifty thousand only) on each occasion may be made on the recommendations of a duly constituted Local Purchase Committee consisting of three members of an appropriate level as decided by the Head of the Unit. The committee will survey the market to ascertain the reasonableness of rate, quality and specifications and identify the appropriate supplier. Before recommending placement of the purchase order, the members of the committee will jointly record a certificate as under [GFR-2017, Rule-155]:

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Certificate: *"Certified that we, members of the purchase committee, are jointly and individually satisfied that the goods recommended for purchase are of the requisite specification and quality, priced at the prevailing market rate and the supplier recommended is reliable and competent to supply the goods in question, and it is not debarred by Department of Commerce or Ministry/ Department concerned."*

3. Purchase Through GeM: Government of India has hosted an online Government e-Marketplace (GeM) for common use Goods and Services. As per Rule 149 of GFR 2017, GeM has been made mandatory for procurement of Goods and Services available on GeM. The procuring authorities will certify the reasonability of rates. The GeM shall be utilized by all the Units of AVNL for direct on-line purchases as per procedure given below:

- i. Up to Rs 25,000/- through any of the available suppliers on the GeM, meeting the requisite quality, specification and delivery period.
- ii. Above Rs. 25,000/- and up to Rs. 5,00,000/- through the GeM Seller having lowest price amongst the available sellers (excluding automobile where current limit of 30 lakh will continue), of at least three different manufacturers, on GeM, meeting the requisite quality, specification and delivery period. The tools for online bidding and online reverse auction available on GeM can be used by the Buyer if decided by the competent authority.
- iii. Above Rs. 5,00,000/- through the supplier having lowest price meeting the requisite quality, specification and delivery period after mandatorily obtaining bids, using online bidding or reverse auction tool provided on GeM (excluding Automobiles where current limit of 30 lakh will continue).
- iv. The invitation for the online e-bidding/reverse auction will be available to all the existing Sellers or other Sellers registered on the portal and who have offered their goods/services under the particular product/service category, as per the terms and conditions of GeM.



- v. The above mentioned monetary ceiling is applicable only for purchases made through GeM. For purchases, if any, outside GeM, relevant provision of this Procurement Manual shall apply.
- vi. The Government Buyers may ascertain the reasonableness of prices before placement of order using the Business Analytics (BA) tools available on GeM including the Last Purchase Price on GeM, Department's own Last Purchase Price etc.
- vii. A demand for goods shall not be divided into small quantities to make piecemeal purchases to avoid procurement through L-1 Buying / bidding / reverse auction on GeM or the necessity of obtaining the sanction of higher authorities required with reference to the estimated value of the total demand.
- viii. The detailed guidelines issued by Ministry of Defence/Ministry of Expenditure from time to time to be adhered to with respect to procurement through GeM.

4. AVNL Rate Contract: The Corporate Office of AVNL shall, except in case of purchase of production items from already approved/proprietary/developed sources and where License Agreements/Long Term Contracts are in force, to the maximum extent possible, enter into Rate Contracts for items which are commonly used by different units of AVNL. Such contract should be made with reliable and established sources of supply after obtaining competitive offers through Open Tender. The advantages of this arrangement are:

- i. Supplier is assured of expected volume of business and hence can offer better prices.
- ii. AVNL is assured of continuous supply as per requirement.
- iii. Assurance of sustained quality supplies.
- iv. Effective controls on inventory buildup.
- v. Purchasing cost is kept low.

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5. AVNL Licence Agreements: At the time of finalization of licence agreements, Purchase Agreements are also entered which enable AVNL or its units to procure its requirements without calling for offers. The Purchase Agreement is valid for the period of main Licence Agreement and an agreed escalation clause governs the prices applicable on supplies to AVNL or its units.

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XI. PROCEDURE FOR COTS ITEMS

1. The standard procurement procedure contained in the preceding Chapter-VIII (Mode of Procurement and Selection) shall apply while procuring other than MTO items. Advertised OTE shall be the preferred mode for procurement of common use items/commercial specifications which are readily available in the market from a wide range of sources/vendors. However, depending on the value of the procurement the appropriate mode of procurement i.e. OTE, LTE, STE, RC, CP (Cash-Purchase) and LPC as contained in the Manual may be followed within the financial limits specified therein. In procurement of direct material (falling in the category 'other than MTO') through LTE, only established vendors with valid registration as per the SOP for vendor registration shall be allowed to participate.
2. Under advertised tenders (OTE/GTE), procurement shall be made through OEMs/ Manufacturers or their authorized dealers/distributors, if it is the policy the OEM/ Manufacturer to deal through their authorized dealers/distributor.
3. Similarly, in case of imported stores including raw material/tools & gauges/ machinery spares, the procurement can be made through authorized dealers/entities if the OEMs/ Manufacturers deal through them.
4. The long term requirement, if known, shall be indicated in the tender notice/ tender to attract more firms to quote.
5. Sometimes, due to short shelf-life, high volatility or high storage losses, difficulties are experienced in procurement, and vendors also normally provide very short validity for their bids. These items being commercially available there are normally adequate number of sources in the market. Therefore, there may not be a need for any special source development exercise. In such case, procurement may be made from registered/government licensed/ reputed vendors through LTE issued to minimum three vendors. Considering the shelf-life and storage losses, the VSL TPC, after duly

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recording reasons, shall decide the optimal frequency at which the procurement will be made.

6. For limited tender enquiry of COTS items, para 5 & 6 of the Chapter-VIII may be referred.

7. Against OTE, (other than MTO) items shall be procured generally through GeM, however competent authority (i.e. relevant TPC as per DoFP of AVNL) may decide to buy through other mode of e-procurement/ paper tender after following the relevant instructions in the matter as notified by GoI from time to time. Level of TPC is decided considering procurement value including option clause quantity.

8. For COTS items, the entire deficient quantity with 50% option clause may be procured through OTE.

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XII. PROCEDURE FOR MADE-TO-ORDER STORES

The challenges in procurement of Made-to-Order (MTO) items are many and complex to handle. These challenges necessitate special procedure for MTO items to ensure delivery of quality end-products according to the targeted production program. The following procedure shall be followed for procuring Made-to-Order items:

- i. The quantity to be procured is to be worked out as per Para-4, Chapter-VII of this manual.
- ii. MTO items are manufactured against specific requirements and their sources are limited. And therefore, in order to generate healthy competition, the source development exercise shall necessarily be undertaken through Source Development OTE so as to have adequate sources for a specific item. Advance Vendor Registration (AVR) for new vendors should be done twice a year through open advertisement during the 1st fortnight of January and July of every year. However, in addition, vendor can also apply for registration throughout the year. If no response received in AVR or AVR not floated due to non availability of requirement, then the unit may float SD-OTE in two bids.
- iii. Vendors become established source for a particular item after securing order by participation in a SD-OTE for the item and successfully delivering at least 60% of ordered quantity against the supply order, and the same being accepted on conformity to the qualitative requirements. However, supplies against subsequent LTE orders shall be accepted subject to completion of the supplies under the SD-OTE.
- iv. Established vendors for aggregates, assemblies and sub-assemblies shall be considered as established vendors for components and sub-assemblies that go into making of the aggregate, assembly and sub-assembly.

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- v. The Option Clause (OC) is provided in the LTE (associated with SD-OTE) to take care of the eventuality of the SD-OTE supplies not materializing in time for meeting the targeted production. Accordingly, the OC shall be exercised when it becomes evident that supplies from SD-OTE will not materialize in time for meeting the targeted production. The OC may also be exercised in case the supply plan/contract quantity has been enhanced from that considered while calculating the net deficiency.
- vi. If the value of the net deficiency worked out for a MTO item is up to Rs. 25 lakh (including the OC quantity), then without insisting on SD-OTE, the entire net deficiency may be procured through LTE provided there are minimum three established vendors with valid registration and no cartel is suspected (to be recorded after due diligence by the relevant TPC). If the number of established vendors is less than three, then registered vendors for the same range of products/ goods/ services/ technology can also be included for the LTE.
- vii. MTO items are specialized items that do not have commercial application. Therefore, keeping established sources active/alive is the most important aspect of supply-chain-management. Established production lines in the trade remain alive when established sources get periodical orders to keep their facilities active. Thinning out orders on too many established sources has a potential risk of established sources dying out due to non-availability of adequate work to keep established facilities alive/active. To avoid such a situation, for MTO items more than Rs 25 lakh (including option clause quantity), where three or more established sources is existing for an item, the VSL-TPC, with prior approval of Head of Unit (if Head of Unit is CFA, then next higher CFA), may decide not to undertake further source development, provided the existing established sources are not acting in collusion/ cartel. In such case the entire net deficiency may be procured through LTE.
- viii. For items other than those exempted from SD-OTE (as per para-vii) following provision shall prevail:



- a) 80% of the net deficiency shall be procured with a 25% option clause through LTE issued to only established sources with valid registration. All the established sources, including sources developed by other Units for that particular item, shall be allowed to participate in the LTE.
- b) Balance 20% of the net deficiency shall be procured without option clause through SD-OTE following a two-bid system where established sources shall not be allowed to participate. However, to prevent stock out situations and (or) cater to unforeseen requirements of the Armed Forces/MHA and on the ground of national security as per directive of MoD, LTE can be resorted to for even the balance quantity. In such cases, approval of Head of Unit shall be obtained for resorting to LTE.
- c) With low volume/quantity, if considered necessary by VSL-TPC, LTE of 50% quantity with 100% option clause and SD-OTE with balance 50% quantity without option clause can be initiated.
- ix. The efforts should be made to finalize the SD-OTE in a time bound manner and its progress be closely monitored.
- x. If the Supply Order(s) placed against OTE is not being executed by the supplier(s), even after DP extension (including staggered DP) and the material is urgent, 25% extra quantity with 100% option clause may be procured through LTE from the established and registered firms. The decision to be taken by the same TPC of supply order which is not being executed. However, resulting excess procurement, if any, should be adjusted in subsequent procurement cycle.
- xi. Normally, bids are not invited from both established as well as non-established vendors in the same TE. However, where necessary this may be resorted after recording detailed reasons for the same. In such cases the entire net deficiency may be procured through OTE, following a two-bid system, and allowing established and non-established sources to participate on a level playing field. In

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this context capacity assessment/verification of non-established or unregistered firms shall not be considered as un-equitable treatment, since capacities of established firms are known from the fact that they have supplied the item, and the capacity of firms are required to be verified prior to their registration. However, the TPC, if considered necessary, is competent to seek fresh capacity assessment/verification of established or registered firms also.

- xii. In LTE for a particular item, tender shall be issued to all established and registered source(s), including sources developed by other units of AVNL/Ex OFs/DPSUs/MOD/User for that particular item. In cases where established & registered sources are less than three, LTE shall be issued to minimum two established and registered sources. If the established & registered source is only one, then procurement shall be on Single Known Source basis after rendering the requisite SKS Certificate (or PAC if a proprietary item).
- xiii. If distribution of quantity is necessary for having more than one source for strategic reasons, the distribution ratio shall be indicated in the tender (60:40). No distribution of quantity is permitted, if LTE has been issued to two established sources.
- xiv. Sources unambiguously approved for a particular item(s) by collaborators and design agencies shall also be considered as established sources for that item. They shall be subjected to the normal vendor rating as per SOP.
- xv. SD-OTE will be on the two bids system wherein the technical bid will lay down the qualifying criteria, such as minimum turnover of the firm, production facilities, supplies of similar products made in required quantity/quality control arrangements etc. The financial bid will contain (i) Item-wise price (ii) Details of applicable taxes & duties and (iii) All other commercial terms & conditions.
- xvi. Indication of the long term requirement, if known, shall be specified in the SD-OTE to invoke interest in sources to quote.

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- xvii.** Established sources for an item will not be eligible to participate in the SD-OTE for that item. The status whether a firm is established or not shall be reckoned as on the last date of the previous month in which vendor selection TPC is held.
- xviii.** There may be attempts by established manufacturers/suppliers/sources for an item to prevent new manufacturers/sources from being developed. Therefore following precaution may be taken:
- a.** The open tender for developing new sources will be in two bid system, however in the technical bid, only those firms will be short listed that have the capacity for making/developing the said item in terms of machineries, capital, skilled manpower, technology, etc.
 - b.** Any quote that is less than 70% of simple average of the basic rate (LTE and successfully executed SD-OTE/OTE) at which orders (excluding import orders) have been placed over the preceding three years (reckoned from the date of tender opening) shall be deemed as freak rate and rejected.
 - c.** To have more firms developing an item and thereby improve the probability of developing new sources in SD-OTE, the L-2 firm may be given 40% of the tendered quantity on accepting the L-1 rates, provided this was indicated in the tender.
 - d.** If a firm on which source development order has been placed is unable to develop the item within the specified time frame, existing provision of AVNL DoFP should be followed.
 - e.** In the re-tender (or the next OTE, if relevant as mentioned in preceding paragraph), the firm that was unable to develop the particular item even with the extended time-frame that resulted in the re-tender shall not be allowed to participate.

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- xix.** To develop vendors for new items, development orders for value not exceeding delegated powers contained in the DoFP, may be concluded when SD-OTE efforts have not been successful.
- xx.** If two SD Supply Order (s) for an item have already been placed against SD-OTEs (irrespective of availability of number of established vendors), further SD-OTE will not be processed till any of these SD-OTE Supply Orders is completed/short closed/canceled. The firm having one SD-OTE supply order is also not allowed to participate in other SD-OTE for the same item, floated by the same or any other unit of AVNL.
- xxi.** The manufacturing of certain items sourced from the trade may require multiple diverse technologies, e.g. manufacture of certain type of shells require forging as well as machining facilities/technologies. Trade firms generally do not possess the entire range of diverse technologies that are required for the manufacture of such items. In such cases, the appropriate Vendor Selection TPC after due deliberations may decide that firms not possessing required facilities with them, but having agreement (self-declared by vendors) with other firms for these facilities can also participate in the tender. This is subject to the assessment that such bidding firm has adequate facilities to ensure the quantitative and qualitative output as per the tender enquiry. In case the TEC/TPC considers it necessary, the capacity of the firm(s) with whom the bidding firm has such agreement(s) can also be verified for the facilities outsourced by the bidding firm. The bidder shall facilitate such capacity verification. It should, however, be ensured that the bidding firm has the capacity for the important operations in-house. The VSL TPC should deliberate and decide, prior to issue of the TE, the facilities are necessarily to be possessed by the bidding firm and should be duly incorporated in the tender enquiry.
- xxii.** VSL TPCs may also consider for participation of firms those having facility/capabilities of integration with testing facilities (System Integrators). These firms may not have manufacturing facilities but have agreement (self-

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